

The complaint

Mrs B complains about the settlement offered by Aviva Insurance Limited in respect of her buildings insurance claim for subsidence.

What happened

Mrs B contacted Aviva when she noticed damage to her property. Aviva carried out an inspection but thought the damage was due to historic movement caused by a lack of lateral restraint, and didn't think there was ongoing subsidence. Mrs B then arranged her own inspection, and her expert thought a nearby tree may be causing ongoing movement.

Aviva therefore carried out a period of monitoring and found the nearby tree had been causing subsidence. The tree was removed, and Aviva established that the movement had stopped. However, Aviva didn't think all of the damage to the property had been caused by the subsidence. It therefore decided to settle the claim by making a cash settlement to Mrs B of £11,777.35.

Unhappy with Aviva's offer, Mrs B brought a complaint to this service. She didn't think Aviva's cash settlement was high enough for her to get the repair work done.

Our investigator didn't recommend the complaint be upheld. She said the damage to Mrs B's property hadn't all been caused by subsidence, and so she thought Aviva's cash settlement was fair.

I issued a provisional decision on 23 April 2021. Here's what I said:

"In 2014, Mrs B arranged for a structural engineer (Mr L) to carry out an inspection. He thought movement and cracking to the property may have been caused by the nearby tree. He recommended that monitoring take place to establish if this were the case. Mr L also said:

"As discussed it is unlikely to be 100% caused by the tree but it is my view that the tree and soil shrinkage is playing some part and at the very least cannot be ruled out."

Aviva arranged for a period of monitoring to take place and found there was subsidence. I understand that the cause of this (the tree) was removed, and Aviva found the property was no longer moving. It therefore needed to arrange repairs for the subsidence damage.

However, when Aviva's subsidence expert inspected the property in July 2020, he didn't think all the damage to the property had been caused by subsidence. He said there was damage that had been caused by old plaster finishes, previous/historic alterations, the deflection of first floor partitions built directly off the floor structure, render failure, rear boundary retaining wall failure, lack of restraint issues and historic settlement causing some bulging of brickwork and stone work to the front right-hand corner and to a front right boundary wall. He said this distortion was very old as shown by two very old lateral ties on the gable wall.

Mrs B hasn't raised concerns about the schedule of repair work that Aviva has put together for the main house. And she hasn't provided any evidence to support that Aviva's schedule of work for the main house doesn't cover all the repairs caused by the subsidence damage. Consequently, I'm satisfied that Aviva's schedule of work in respect of the main house was appropriate.

It seems Mrs B's concerns centre around the external walls. As I understand it, there is a front wall, a right-hand side wall, and a boundary wall to the right-hand side.

Mr L thought there was evidence of both historic and ongoing movement to the walls. He noted the front wall and boundary wall were both in poor condition. He also observed there was evidence of historic repairs and stabilisation of one of the walls, as steel ties had been installed in an attempt to restrain the lateral movement. Mr L thought the front and right-hand side walls had evidence of recent and ongoing crack damage. He also pointed out that the movement to the boundary wall seemed to be below the steel ties. Mr L thought the crack damage was more severe to the front wall and the boundary wall, than to the front wall.

Aviva's subsidence expert made it clear that he thought there was historic damage to the walls, but only commented on subsidence damage in respect of the front wall (he said there was little in the way of subsidence damage to this wall), and didn't specifically comment in respect of subsidence damage to the other two walls.

Mrs B has since employed the services of another engineer (Mr W). Mr W provided further clarification to our investigator. He said that the movement was due to shrinkage of the ground at the corner of the building. And that he was not denying that the building had had remedial ties between walls to prevent lateral movement, but said the problem was below the ties. Mr W said he thought Aviva's settlement offer was low compared to what he thought was the correct cost for the complete remediation of the walls.

Given that Mr L specifically commented on the crack damage to all the walls caused by ongoing movement, I'm persuaded that Mrs B has shown there was subsidence damage to all three of the external walls. However, I appreciate that there was also evidence of historic movement to the walls, which likely pre-dated the start of the policy.

From the evidence I've seen, it appears that Aviva hasn't been able to distinguish between the damage to the walls caused by an insured event (the recent subsidence damage) and the damage caused by an uninsured event (the historic problems). The subsidence damage can't be fixed unless the pre-existing damage to the walls is also put right at the same time.

The usual approach of this service in these circumstances is for the insurer to cover all the damage, and so I think that would be the fairest approach here.

Therefore, to put things right, I think Aviva should increase the settlement offer to include the total cost of putting right the damage to the external walls.

The policy says:

"We can choose to settle your claim by

- Replacing*
- Reinstating*
- Repairing*
- Payment*

...

If we can repair or replace property but agree to make a cash or voucher settlement we will only pay you what it would cost us to repair or replace it."

Aviva didn't want to carry out repairs, and so decided to cash settle. As Aviva wasn't able to repair the damage and chose to make a cash settlement, that means it should pay the amount it would cost Mrs B to have the work done.

I understand that Mrs B has now started repair work, and so she may wish to let Aviva know how much she has been quoted. To be clear, Aviva is only obliged to cover the cost of the subsidence damage identified to the main house (unless Mrs B can show that there was damage to the house caused by subsidence that wasn't taken into account in Aviva's schedule of work), and the cost to rectify the damage to the external walls."

I asked both parties to provide me with any further comments they wished to make.

Aviva said that its schedule allows for the repairs to the three affected walls. It thought it should try and reach a further cash settlement for the repairs to those walls, but not complete wall rebuilds – it didn't think that would be fair when the subsidence element hadn't caused all the problems with the walls.

Mrs B responded to make the following points:

- She is currently in the process of renovating the house, but has encountered additional problems which have led to increased costs related to the decor.
- She thinks the schedule of work needs to be revisited, as damage to the front right corner has become more onerous due to ongoing movement.
- She thinks the cracking above the front door is attributable to the movement of the side wall.
- The builder has provided her with details of the further work needed to rectify the damage - including taking down and rebuilding part of the affected gable wall, taking down and rebuilding the front boundary wall, and remediate and strengthen the front wall. Mrs B has also referred to other work the builder thinks is necessary which affects the main house.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Aviva says that it's willing to reconsider the cash settlement in respect of the external walls, but it doesn't think it should cover the cost of the walls being completely rebuilt.

As I said in my provisional decision, since Aviva couldn't distinguish between the subsidence damage and the earlier (uninsured) damage, the usual approach of this service is to require the insurer to cover all the damage. I still think that would be fair here.

Mrs B has helpfully confirmed what work her builder thinks is necessary to put right the damage to the walls. It seems all three walls don't need to be taken down and fully rebuilt, which Aviva was concerned about. But Aviva will need to cover the cost to Mrs B of having the repairs done to the walls. Mrs B should contact Aviva about this directly and, if it costs more than Aviva allowed for in its settlement, Aviva should pay the additional amount.

Mrs B thinks the schedule of work needs to be revisited, as she thinks some damage has become more onerous due to ongoing movement. However, my understanding is that Aviva had established that the movement in the property had stopped and the schedule of works

was drawn up after that. If Mrs B thinks there's been new movement, she should contact Aviva about this so that it can carry out an assessment.

Mrs B has also said she thinks the cracking above her front door is attributable to the movement of the side wall. However, I see that Aviva accepted this was subsidence damage and took this into account in the schedule of works.

Although Mrs B has said additional problems have been encountered in the main house which have led to increased costs, she hasn't provided any evidence that the additional problems were caused by subsidence.

If Mrs B obtains supporting evidence to show that Aviva's original schedule of work didn't include all the repairs needed due to subsidence damage, she should submit this to Aviva to consider. Otherwise, in respect of the main house, Aviva would only need to pay the cost to Mrs B of putting right the subsidence damage as allowed for in the original schedule of works.

My final decision

My final decision is that I uphold this complaint. I require Aviva Insurance Limited to increase its cash settlement offer so that this covers the cost to Mrs B of putting right the subsidence damage to the main house based on the schedule of works, and the cost to put right all the damage to the external walls.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs B to accept or reject my decision before 7 June 2021.

Chantelle Hurn-Ryan
Ombudsman